HSBC Global Research

29 October 2026

Alphabet (GOOGL US)

Buy: Q3 results miss on Google Services margins

Equities
IT Services

United States

- Q3 GAAP EBIT was a 6.3% miss due to weaker Google Services margins; search now re-enters the "show me" phase
- Google Cloud continues to deliver with revenues and EBIT ahead of expectations; meaningful TPU sales from 2027e
- Retain Buy; cut TP to USD360 (from USD420) due to lower Search estimates and multiple

Q3 results: Services miss of greater importance than cloud beat: Total revenues were USD127.6bn, up 24.7% yoy, in line with Visible Alpha (VA) consensus of USD127.3bn. Group GAAP EBIT was USD40.6bn, 6.3% below consensus at USD43.3bn. The miss was driven by Google Services (GS). Revenues were 2.0% below consensus at USD96.3bn and margins were also below expectations at 40.7% versus consensus at 41.7%. We highlighted GS margin as a risk going into results.

Cloud continues to deliver: Revenues were +102.6% yoy to USD30.7bn, up from +81.8% in Q2, including a small contribution from TPU sales. This represented a 7.4% beat vs VA consensus at USD28.6bn with GAAP EBIT of USD11.1bn, +17.1% versus VA consensus of USD9.5bn. Margin dilution should occur in Q4 due to the full quarter impact of compute leasing deals and greater TPU sales.

Headline FCF better than initial viewing: The FCF outlay was USD9.1bn; however, adjusting for legal costs and low-risk TPU inventory builds, this falls to USD0.8bn. Capex guidance remains unchanged; however, we cautiously lift our 27/28e forecasts to USD325/350bn from USD270/300bn.

New market-leading model: Alphabet released its new frontier model, Carbon. It is the leading model by intelligence on Artificial Analysis at 59 and is the second most expensive on a cost-per-task basis behind Anthropic's models.

Ads move into AI Mode and AI Overviews, Search re-enters the "show me" phase: Both Search revenues and Services margins were below expectations, with management noting FX headwinds and tough comps for Q4. Longer-term, the move to monetise AI Mode and AI Overviews searches should be EBIT accretive as searches are incremental (Q3 was the highest level of queries in 5 years). However, the initial lower monetisation and cost to serve should be a headwind to margins initially. The market has previously held concerns over frontier models taking search revenues; weaker near-term growth and margin headwinds are likely to re-elevate these.

Retain Buy; cut TP to USD360 (from USD420): We update for the release and lower our outer year margins for Google Services as the cost-to-serve for the new advertising lines comes through. Overall, we cut GAAP EBIT estimates by 6.0%/4.1% for FY26/27e and raise it by 0.5% for 2028e. Our TP cut comes on the back of lower estimates alongside a 20% reduction to the Google Search multiple from 19.0x to 15.2x to reflect the show me phase for Search above.

MAINTAIN BUY

TARGET PRICE (USD)	PREVIOUS TARGET (USD)
360.00	**420.00**
SHARE PRICE (USD)	UPSIDE/DOWNSIDE
292.80	**+23.0%**

(as of 28 Oct 2026 at 21.52)

MARKET DATA

Market cap (USDm)	3,713,119	Free float	87%
Market cap (USDm)	3,713,119	BBG	GOOGL US
3m ADTV (USDm)	8,971	RIC	GOOGL.N

FINANCIALS AND RATIOS (USD)

Year to	12/2025a	12/2026e	12/2027e	12/2028e
HSBC EPS	10.81	19.35	14.47	18.18
HSBC EPS (prev)	10.81	19.80	15.01	18.07
Change (%)	0.0	-2.3	-3.6	0.6
Consensus EPS	10.62	20.54	15.24	18.42
PE (x)	27.1	15.1	20.2	16.1
Dividend yield (%)	0.3	0.3	0.3	0.3
EV/EBITDA (x)	23.7	17.5	13.0	9.9
ROE (%)	35.7	42.4	21.6	21.1

52-WEEK PRICE (USD)



Source: LSEG IBES, HSBC estimates

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Issuer of report: HSBC Bank plc

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Financials & valuation: Alphabet

Buy

Financial statements

Year to	12/2025a	12/2026e	12/2027e	12/2028e
Profit & loss summary (USDm)				
Revenue	402,836	499,924	626,549	753,816
EBITDA	150,175	199,135	273,868	364,583
Depreciation & amortisation	-21,136	-31,680	-56,901	-94,521
Operating profit/EBIT	129,039	167,455	216,967	270,062
Net interest	3,601	2,040	1,036	-19
PBT	158,826	295,673	217,534	269,574
HSBC PBT	158,826	295,673	217,534	269,574
Taxation	-26,656	-56,287	-41,412	-51,319
Net profit	132,170	239,385	176,122	218,255
HSBC net profit	132,170	239,087	176,122	218,255
Cash flow summary (USDm)				
Cash flow from operations	164,713	159,009	244,468	342,430
Capex	-91,447	-205,000	-325,000	-350,000
Cash flow from investment	-120,291	-275,218	-325,000	-350,000
Dividends	-10,050	-10,896	-11,164	-11,542
Change in net debt	4,478	-22,508	90,181	33,708
FCF equity	73,266	-45,991	-80,532	-7,570
Balance sheet summary (USDm)				
Intangible fixed assets	33,380	58,117	58,117	58,117
Tangible fixed assets	261,818	439,191	707,290	962,768
Current assets	206,038	332,975	332,174	391,216
Cash & others	126,843	227,906	212,725	251,357
Total assets	595,281	1,037,440	1,309,552	1,624,073
Operating liabilities	123,938	160,959	152,788	156,158
Gross debt	46,547	125,102	200,102	272,442
Net debt	-80,296	-102,804	-12,623	21,085
Shareholders' funds	415,265	711,326	916,610	1,155,421
Invested capital	250,455	441,418	732,068	1,004,587

Ratio, growth and per share analysis

Year to	12/2025a	12/2026e	12/2027e	12/2028e
Y-o-y % change				
Revenue	15.1	24.1	25.3	20.3
EBITDA	17.6	32.6	37.5	33.1
Operating profit	14.8	29.8	29.6	24.5
PBT	32.6	86.2	-26.4	23.9
HSBC EPS	34.4	79.0	-25.2	25.6
Ratios (%)				
Revenue/IC (x)	1.9	1.4	1.1	0.9
ROIC	50.0	39.2	29.9	25.2
ROE	35.7	42.4	21.6	21.1
ROA	25.4	29.7	15.3	15.1
EBITDA margin	37.3	39.8	43.7	48.4
Operating profit margin	32.0	33.5	34.6	35.8
EBITDA/net interest (x)				19189.7
Net debt/equity	-19.3	-14.5	-1.4	1.8
Net debt/EBITDA (x)	-0.5	-0.5	-0.0	0.1
CF from operations/net debt				1624.0
Per share data (USD)				
EPS Rep (diluted)	10.81	19.37	14.47	18.18
HSBC EPS (diluted)	10.81	19.35	14.47	18.18
DPS	0.84	0.88	0.92	0.97
Book value	34.27	58.17	76.13	97.29

Key forecast drivers

Year to	12/2025a	12/2026e	12/2027e	12/2028e
Revenue - Google services	342,721	384,582	419,507	450,497
Revenue - Google Cloud	58,705	113,856	205,546	301,843
Revenue - Other Bets	1,537	1,517	1,496	1,476
Operating Income - Google services	139,404	161,708	176,814	192,427
Operating Income - Google Cloud	13,910	39,463	76,492	116,856
Operating Income - Other Bets	-7,515	-7,880	-7,921	-7,961

Valuation data

Year to	12/2025a	12/2026e	12/2027e	12/2028e
EV/sales	8.8	7.0	5.7	4.8
EV/EBITDA	23.7	17.5	13.0	9.9
EV/IC	14.2	7.9	4.9	3.6
PE*	27.1	15.1	20.2	16.1
PB	8.5	5.0	3.8	3.0
FCF yield (%)	2.0	-1.2	-2.2	-0.2
Dividend yield (%)	0.3	0.3	0.3	0.3

* Based on HSBC EPS (diluted)

ESG metrics

Environmental Indicators	12/2024a
GHG emission intensity*	8.9
Energy intensity*	n/a
CO_2 reduction policy	Yes
Social Indicators	**12/2024a**
Employee costs as % of revenues	n/a
Employee turnover (%)	n/a
Diversity policy	Yes

Governance Indicators	12/2025a
No. of board members	10
Average board tenure (years)	16.0
Female board members (%)	10
Board members independence (%)	70

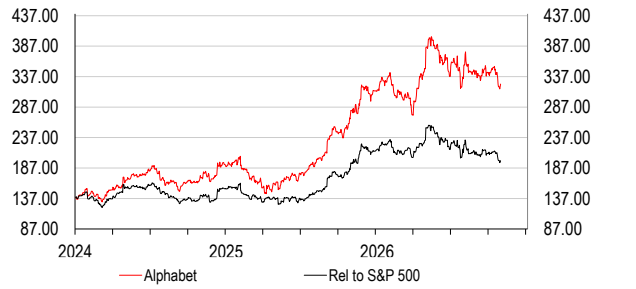
Source: Company data, HSBC

* GHG intensity and energy intensity are measured in kg and kWh respectively against revenue in USD '000s

Issuer information

Share price (USD)	292.80	Free float	87%
Target price (USD)	360.00	Sector	It Services
RIC (Equity)	GOOGL.N	Country/Region	United States
Bloomberg (Equity)	GOOGL US	Analyst	Paul Rossington
Market cap (USDm)	3,713,119	Contact	+44 20 7991 6734

Price relative



Source: HSBC

Note: Priced at close of 28 Oct 2026 at 21.52

Q3 results roundup

Alphabet Q3 revenues broadly in line: Total revenues were USD127.6bn, +24.7% yoy and in line with Visible Alpha (VA) consensus of USD127.3bn, but marginally below BBG at USD127.9bn. Cloud delivered better than expected growth, +102.6% yoy to USD30.7bn, up from +81.8% in Q2, including an albeit small contribution from TPU solution sales. This represented a 7.4% beat vs VA consensus at USD28.6bn.

However, this was offset by lower-than-expected growth at Google Services, revenues from which increased by 10.6% to USD96.3bn, a c2% miss vs VA consensus, and down from +14.5% growth in Q2. Within the mix, Search came in at +12.0% yoy vs +16.7% in Q2, and YouTube ads came in at +9.2% yoy vs +12.9% in Q2. The single largest driver of the deceleration in growth at Search, according to management, is FX, followed by a shortfall in APAC advertisers (primarily retailers) into Europe, earlier phasing of brand advertising around the FIFA World Cup in June vs July, and lower monetisation attached to AI Mode queries despite strong growth in total queries.

Services margins disappoint…: Total GAAP EBIT was USD40.6bn, which is 6.3% below VA & BBG consensus at USD43.3bn respectively. This is primarily driven by a second consecutive weak quarterly margin at Google Services which came in at 40.7%, below consensus of 41.7%. Going into results we highlighted Google Services margin was one to watch. While the Google Services 3Q margin still represents headline, yoy expansion of c220bps, we would highlight that Google Services EBIT was negatively impacted by the USD3.5bn legal costs in Q3 last year, and we estimate cUSD1.3bn this year. Adjusting for these anticipated legal costs, we would arrive at 3Q26 Google Services margin of 42.0% vs 42.5% in the same period last year, the former slightly ahead of consensus. Nonetheless, on a reported basis, this is a miss, with further potential litigation in the pipeline.

In addition to lower-than-expected Service EBIT margin, Alphabet level activities saw a greater than expected quarterly loss at USD7.7bn than VA Cons expectations of USD5.4bn.

…but Google Cloud margins outperform: GAAP EBIT was USD11.1bn, +17.1% versus VA cons of USD9.5bn. This is despite the noted headwinds from Q2 of 1) the scale of TPU chip sales to Anthropic; and 2) the leasing of compute capacity from SpaceX. The cloud backlog was USD561bn the majority of which relates to GCP contracts. The company expects to register 55% of this in the next two years, versus 50% noted at Q2 of a USD516bn backlog.

Results at the EPS line are murky as per usual: Below the EBIT line, results are once again murky due to the equity loss in Alphabet's SpaceX holding. Other income, which includes a USD8.2bn loss on this position, compares to a poorly comprised consensus at a positive USD1.2bn. This led to an EPS of USD2.12, a 28.9% miss versus consensus of USD2.98. Please see the full results table overleaf.

Headline FCF generation still negative: Headline FCF generation came in at negative USD9.1bn, and a cUSD35bn swing vs 3Q last year, and vs Q2 at USD5.8bn. However, if we adjust for USD5.1bn of legal cost and USD3.2bn of inventory build relating to TPU solutions, the latter reflecting the changing nature / funding requirements of Google Cloud's in-house silicon program, and adjusted FCF would have been only cUSD0.8bn outflow. This is despite a USD6.4bn increase in capex vs 2Q.

Guidance unchanged: The group has guided to no change in FY26e capex at USD195-205bn (we assume the top end of the range). Management also flagged the anticipated, continued impact of negative FX and progressively tougher comps at Google Search in 4Q. On a more positive note, initial trials of advertising within AI mode are said to be on positive trajectory sufficient to justify rolling this service out to international markets.

At-the-market share sales: In Q3, Alphabet issued 12m shares of Class A stock for a net USD4.3bn and 24m shares of Class C stock for a net USD8.1bn. As at the end of Q3 the group still had USD27.6bn available for future issuance under the ATM Program announced in June (see: '*Buy: Google announces USD80bn capital raise*', 2 June 2026, for more detail).

Liquidity: The company has USD265bn of cash and marketable securities at the end of Q3, with USD82bn in SpaceX equity. The long-term debt is USD125bn and the build commitments were cUSD900bn, up from cUSD700bn at the end of Q2.

Q3 results and changes in estimates

Alphabet Q3 results

USDbn	Actual	yoy growth	VA cons	diff versus cons
Google Search & other	63.4	12.0%	64.9	-2.4%
YouTube ads	11.2	9.2%	11.4	-1.7%
Google Network	7.5	1.4%	7.2	3.5%
Google Advertising Total	**82.0**	**10.6%**	**83.6**	**-1.9%**
Google subscriptions, platforms, and devices	14.3	11.0%	14.7	-2.8%
Google Services total	**96.3**	**10.6%**	**98.3**	**-2.0%**
Google Cloud	30.7	102.6%	28.6	7.4%
Other Bets	0.4	8.1%	0.4	-7.0%
Total	**127.6**	**24.7%**	**127.3**	**0.2%**
Total costs and expenses	87.0	22.3%	84.1	3.4%
Total EBIT	**40.6**	**29.9%**	**43.3**	**-6.3%**
Group EBIT margin	31.8%		34.0%	
EBIT - Services	**39.2**	**16.8%**	**41.0**	**-4.5%**
EBIT - Cloud solutions	**11.1**	**209.4%**	**9.5**	**17.1%**
EBIT - Other Bets	(2.0)	43.5%	(1.6)	27.9%
EBIT - Alphabet level activities	(7.7)	71.4%	(5.4)	41.8%
Non-operating income/(expense)	(8.2)	-164.4%	1.2	na
Net income/(loss)	26.2	-25.2%	36.8	-28.9%
EPS - Diluted	**2.12**	**-26.0%**	**2.98**	**-28.9%**
Dividend per share	0.22	4.8%	0.2	10.0%
Free cash flow	(9.1)	na	(3.9)	na
Capex	51.4	114.4%	56.0	9.0%

Source: Company reports, Visible Alpha

Change to HSBC estimates

Changes in HSBC estimates (all GAAP)

USDbn	New Estimates			Old Estimates			% Changes		
	2026e	2027e	2028e	2026e	2027e	2028e	2026e	2027e	2028e
Total revenue	**499.9**	**626.5**	**753.8**	**498.9**	**610.4**	**733.6**	**0.2%**	**2.6%**	**2.8%**
Google Services	384.6	419.5	450.5	386.5	421.5	453.8	-0.5%	-0.5%	-0.7%
Google Cloud	113.9	205.5	301.8	111.0	187.5	278.4	2.6%	9.6%	8.4%
Total EBIT	**167.5**	**217.0**	**270.1**	**178.1**	**226.3**	**268.6**	**-6.0%**	**-4.1%**	**0.5%**
Google Services	161.7	176.8	192.4	169.8	192.3	204.9	-4.8%	-8.0%	-6.1%
Google Cloud	**39.5**	**76.5**	**116.9**	**38.5**	**66.7**	**99.1**	**2.4%**	**14.6%**	**17.9%**
PBT - - excl. gains in equity investments	**196.7**	**217.5**	**269.6**	**204.7**	**226.6**	**269.1**	**-3.9%**	**-4.0%**	**0.2%**
Income Tax	56.3	41.4	51.3	58.2	43.4	51.5	-3.2%	-4.6%	-0.4%
Net income	**239.1**	**176.1**	**218.3**	**245.6**	**183.2**	**217.6**	**-2.6%**	**-3.9%**	**0.3%**
Diluted EPS	**19.35**	**14.47**	**18.18**	**19.80**	**15.01**	**18.07**	**-2.3%**	**-3.6%**	**0.6%**
DPS	0.88	0.92	0.97	0.88	0.92	0.97	0.0%	0.0%	0.0%
Capex	**205.0**	**325.0**	**350.0**	**205.0**	**270.0**	**300.0**	**0.0%**	**20.4%**	**16.7%**
FCF	-48.4	-88.5	-7.7	-21.2	-23.2	22.6	116.5%	246.5%	-133.5%

Source: HSBC estimates

Valuation and risks

Alphabet GOOGL US

Buy

Current price: **USD292.80**

Target price: **USD360.00**

Up/downside: **+23.0%**

Valuation

We use SOTP analysis to reach our target price of USD360.00 (from USD420.00), based on changed peer group multiples.

We apply a 20% discount to our previous 19.0x multiple, now 15.2x, for the Google Search business due to its entry into a "show-me" phase, which may entail a higher risk profile.

Our TP implies 23.0% upside and we retain our Buy rating.

Our full valuation can be found overleaf.

Risks to our view

Downside risks

- Google Search losing meaningful query market share
- Google Cloud failing to win further contracts and reaching a lower market share than expected
- Price war within cloud server providers market impacting margins
- Adverse FX scenarios
- Chasing growth, including expensive M&A
- Limited valuation support.

Priced at 28 October 2026 at 21.52
Source: HSBC estimates

HSBC Alphabet SOTP valuation

	Revenues		EBIT		EV	% EV	EV/Revs		EV/EBIT		EV/Revs multiple	EV/EBIT multiple	Rationale
	FY26	FY27	FY26	FY27	FY26		FY26	FY27	FY26	FY27			
Search	256.7	280.7	150.8	156.4	2,356	58.1%	9.2x	8.4x	15.6x	15.1x		15.2x	20% cut to our previous 19.0x
YouTube Ads	44.6	49.2	7.5	8.7	181	4.5%	4.1x	3.7x	24.2x	20.8x		21.6x	Unchanged
YouTube Subs	29.0	32.9	1.9	2.6	239	5.9%	8.3x	7.3x	128.5x	91.7x	7.5x		Unchanged
YouTube	73.6	82.1	9.3	11.3	421	10.4%	5.7x	5.1x	45.0x	37.2x			Sum of the above
Network	29.4	28.6	4.4	4.3	35	0.9%	1.2x	1.2x	7.9x	8.1x		8.0x	Mature online business seeing negative growth
Other	24.9	28.1	4.5	4.8	42	1.0%	1.7x	1.5x	9.5x	8.9x		9.0x	Mature online business seeing stable revenues
Services - Total	**384.6**	**419.5**	**169.0**	**176.8**	**2,854**	**70.3%**	**7.4x**	**6.8x**	**16.9x**	**16.1x**			
Google Cloud	113.9	205.5	39.5	76.5	1,883	46.4%	16.5x	9.2x	47.7x	24.6x		28.0x	20% discount from 35.0x due to ongoing funding risks
Other Bets	1.5	1.5	(7.9)	(7.9)	100	2.5%	65.9x	66.8x	-12.7x	-12.6x			Assumption for Waymo
Alphabet-level activities			(25.8)	(28.4)	(777.6)	-19.2%						28.0x	Conservatively reflects AI development costs as a cloud revenue driver
Total	**500.0**	**626.5**	**174.7**	**217.0**	**4,059**	**100.0%**	**8.1x**	**6.5x**	**23.2x**	**18.7x**			
Tax benefit					10%								
Total EV					**4,465**		**8.9x**	**7.1x**	**25.6x**	**20.6x**			
Net debt (Q3 26 adjusted for SPCX)					**50.0**								
Other					0								
Equity value					**4,515**								
# shares outstanding (bn)					12.5								
Target price (USD, rounded)					**360.00**								

Priced at xx October 2026

Disclosure appendix

Analyst Certification

The following analyst(s), economist(s), or strategist(s) who is(are) primarily responsible for this report, including any analyst(s) whose name(s) appear(s) as author of an individual section or sections of the report and any analyst(s) named as the covering analyst(s) of a subsidiary company in a sum-of-the-parts valuation certifies(y) that the opinion(s) on the subject security(ies) or issuer(s), any views or forecasts expressed in the section(s) of which such individual(s) is(are) named as author(s), and any other views or forecasts expressed herein, including any views expressed on the back page of the research report, accurately reflect their personal view(s) and that no part of their compensation was, is or will be directly or indirectly related to the specific recommendation(s) or views contained in this research report: Paul Rossington, Charlie Rothbarth and Nicolas Cote-Colisson

Important disclosures

Equities: Stock ratings and basis for financial analysis

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The target price is based on the analyst's assessment of the stock's actual current value, although we expect it to take six to 12 months for the market price to reflect this. When the target price is more than 20% above the current share price, the stock will be classified as a Buy; when it is between 5% and 20% above the current share price, the stock may be classified as a Buy or a Hold; when it is between 5% below and 5% above the current share price, the stock will be classified as a Hold; when it is between 5% and 20% below the current share price, the stock may be classified as a Hold or a Reduce; and when it is more than 20% below the current share price, the stock will be classified as a Reduce.

Our ratings are re-calibrated against these bands at the time of any 'material change' (initiation or resumption of coverage, change in target price or estimates).

Upside/Downside is the percentage difference between the target price and the share price.

Rating distribution for long-term investment opportunities

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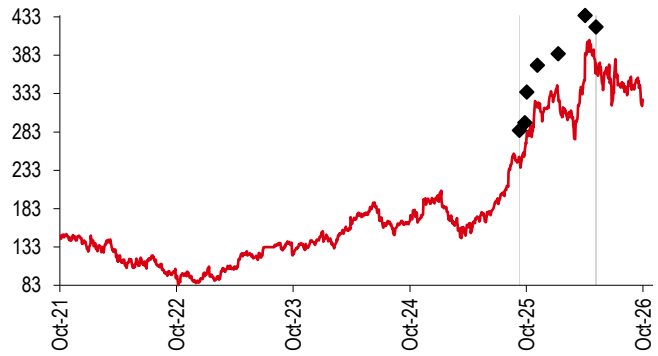
Buy	60%	(12% of these provided with Investment Banking Services in the past 12 months)
Hold	35%	(12% of these provided with Investment Banking Services in the past 12 months)
Sell	4%	(10% of these provided with Investment Banking Services in the past 12 months)

For the purposes of the distribution above the following mapping structure is used under our current model Buy = Buy, Hold = Hold and Reduce = Sell. For rating definitions please see "Stock ratings and basis for financial analysis" above.

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Share price and rating changes for long-term investment opportunities

Alphabet (GOOGL.N) share price performance USD Vs HSBC rating history



Source: HSBC

Rating & target price history

From	To	Date	Analyst
Buy	Buy	07 Oct 2025	Paul Rossington
Restricted	Restricted	02 Jun 2026	
Buy	Buy	04 Jun 2026	Paul Rossington
Target price	**Value**	**Date**	**Analyst**
Price 1	285.00	07 Oct 2025	Paul Rossington
Price 2	295.00	24 Oct 2025	Paul Rossington
Price 3	335.00	30 Oct 2025	Paul Rossington
Price 4	370.00	02 Dec 2025	Paul Rossington
Price 5	385.00	05 Feb 2026	Paul Rossington
Price 6	435.00	30 Apr 2026	Paul Rossington
Price 7	Restricted	02 Jun 2026	
Price 8	420.00	04 Jun 2026	Paul Rossington

Source: HSBC

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Company	Ticker	Recent price	Price date	Disclosure
d	GOOGL.N	324.89	28 Oct 2026	1, 2, 5, 6, 7

Source: HSBC

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